

Gujarat's Leap into Deep Tech manufacturing

Shaping India's Semiconductor, Electronics, and Space Future

Gujarat has long been recognised as one of India's most industrially progressive states. With a proven track record across chemicals, pharmaceuticals, automobiles, engineering goods, and renewable energy, the state has consistently demonstrated how policy certainty, infrastructure-led development, and responsive governance can create globally competitive manufacturing ecosystems. Today, Gujarat is building on this foundation to lead India's next industrial transformation—into semiconductors, electronics systems and components, and space sector manufacturing.

This leap into high-technology sectors is deliberate and forward-looking. As global supply chains undergo structural realignment and India advances its vision of Aatmanirbhar Bharat, semiconductors and advanced electronics have emerged as strategic imperatives. Gujarat has positioned itself at the forefront of this transition through early policy action, ecosystem planning, and execution-focused institutional support.

First-Mover Advantage in Semiconductor Policy

Gujarat holds a distinct first-mover advantage—it was the first state in India to announce a dedicated Semiconductor Policy aligned with the Government of India's Semicon India Programme. This early alignment sent a strong signal to global and domestic investors about Gujarat's intent, preparedness, and long-term commitment to the sector.

The state's semiconductor, electronics, and space sector policies offer comprehensive support, including capital subsidies, interest incentives, power tariff reimbursements, support for R&D and skilling, and facilitation of high-quality industrial infrastructure. Policy support extends to large, long-gestation investments and is aligned with central government incentives. The focus is on building a sustainable, end-to-end manufacturing ecosystem.

GSEM: Enabling High-Tech Investments with Speed and Certainty

The Gujarat State Electronics Mission (GSEM) acts as the nodal facilitating agency for investors in semiconductors, electronics, electronics components, and the space sector. GSEM's role goes well beyond promotion—it provides structured hand-holding across the investment lifecycle, from initial engagement and site selection to approvals, utility coordination, and project implementation.



GSEM engages with national and international industry platforms such as SEMICON India and global space forums, while also hosting "Gujarat Semiconnect" to connect policymakers, technology leaders, and ecosystem partners.

GSEM also holds focused industry roundtables to gather stakeholder inputs and support responsive, industry-aligned policy actions.

Anchor Semiconductor Investments Driving the Ecosystem

Gujarat's policy intent has translated into concrete investments on the ground. Currently, four major semiconductor projects with a cumulative investment of approximately ₹1.24 lakh crore are under implementation in the state. These include Micron Technology's ATMP project, CG Power and Kaynes Technology's OSAT project, and Tata Electronics Private Limited's (TEPL) semiconductor fab project, among others.

These anchor investments position Gujarat as a critical node in India's semiconductor value chain—spanning wafer fabrication, assembly, testing, and packaging. Beyond direct investment and employment, these projects are expected to catalyse the development of ancillary industries, material suppliers, equipment vendors, and service providers, accelerating ecosystem maturation.

Dholera SIR: India's Emerging Semicon City

A cornerstone of Gujarat's semiconductor strategy is the development of Dholera Special Investment Region (SIR) as a planned semiconductor manufacturing hub—often envisioned as India's emerging "Semicon City." Dholera offers large contiguous land parcels, master-planned industrial zones, and scalable infrastructure designed to meet semiconductor-grade requirements.



The Government of Gujarat is strengthening Dholera's infrastructure with reliable power, advanced water and recycling systems, and strong multi-modal connectivity via ports, expressways, and the upcoming airport. Its planned development ensures long-term scalability suited for semiconductor fabs and allied industries.

Sanand: An Organically Evolving ATMP and Electronics Cluster

Sanand is emerging as a hub for ATMP/OSAT and electronics manufacturing, supported by strong connectivity and an established industrial base.

To support this growth, Gujarat is developing Electronics Manufacturing Clusters in Sanand and Dholera, alongside infrastructure upgrades to meet high-tech industry requirements.

Building Talent for a Semiconductor Future

Gujarat is strengthening semiconductor talent development through initiatives such as a Centre of Excellence at PDEU in collaboration with industry partners. Many premier institutions like NIT, Nirma Institute of Technology and NFSU have already started new courses related to advanced semiconductor manufacturing, VLSI and design.

The Road Ahead

Gujarat's approach to semiconductors, electronics, and space manufacturing is defined by early action, ecosystem thinking, and execution discipline. With first-of-its-kind aligned policies, anchor investments worth over ₹1.24 lakh crore, planned clusters in Dholera and Sanand, and an enabling institution like GSEM, the state offers investors a rare combination of scale, certainty, and speed.